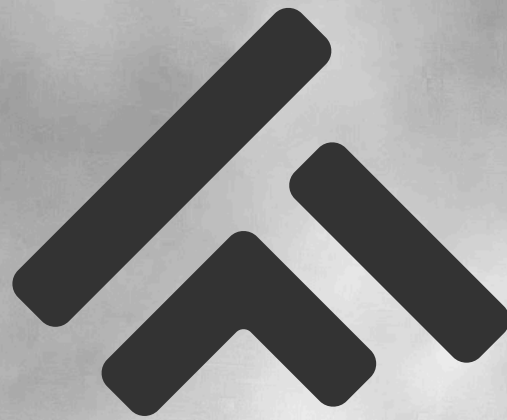




**KLASSIC HEALTH**



[mroldan@agentusabg.com](mailto:mroldan@agentusabg.com)

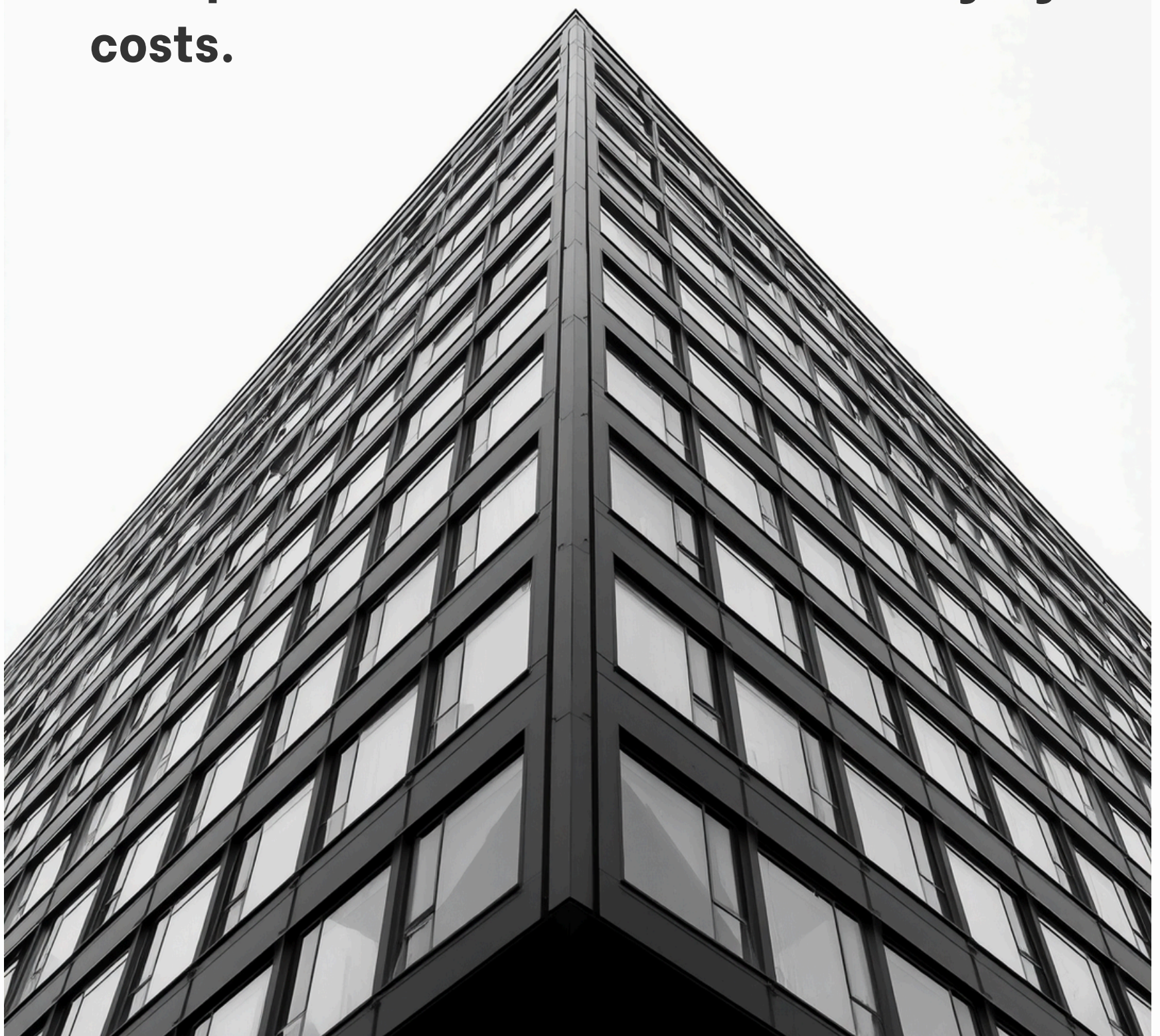
## **SMALL BUSINESS BENEFITS VS. TRADITIONAL INDIVIDUAL INSURANCE**

**A Business Owner's Guide to Protecting  
Employees While Managing Costs  
Marcos Roldan, Independent Broker**



# **Introduction**

- **Attracting and retaining quality employees is one of the most pressing challenges facing small business owners today.**
- **Health and supplemental insurance coverage ranks among the most highly valued employee benefits – yet many owners are unsure where to start.**
- **Multiple benefit strategies exist beyond traditional group insurance, offering flexible and cost-effective alternatives.**
- **This presentation compares traditional group insurance with alternative solutions to help business owners make informed decisions that protect their team while managing costs.**







# **Traditional Group Health Insurance**

- **Employer-sponsored health plan covering eligible employees and their dependents.**
- **ACA-compliant coverage with guaranteed issue for all eligible employees.**
- **Employer contributions are often required to meet plan participation thresholds.**
- **Access to large provider networks with comprehensive major medical coverage.**

# Common Features



**ACA-Compliant & Guaranteed Issue: Coverage meets federal standards with guaranteed acceptance for all eligible employees – no medical underwriting required.**



**Employer Contributions & Large Networks: Employers share premium costs, giving employees access to broad provider networks including major hospitals and specialists.**



**Comprehensive Major Medical Coverage: Covers a wide range of services – hospitalizations, surgeries, preventive care, prescriptions, and specialist visits.**



# Traditional Group Insurance – Challenges



**Rising Annual Premiums:** Group insurance costs typically increase 5%–20% each year, making it difficult for small businesses to maintain affordable coverage long-term.



**Participation & Contribution Requirements:** Most group plans require a minimum percentage of employees to enroll and mandate employer contributions, limiting flexibility.



**Administrative Burden & Limited Flexibility:** Managing group plans demands significant time and resources, while employees have little choice in tailoring coverage to their individual needs.

# What Are Alternative Small Business Benefits?



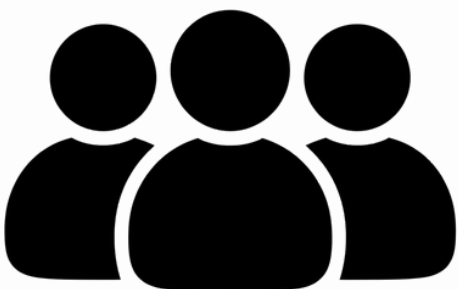
**Supplemental Health & Hospital Indemnity Plans**



**Accident & Critical Illness Coverage**



**Life Insurance & Disability Protection**



**Health Sharing & Individual Health Solutions**



# **Side-by-Side Comparison**

- **Monthly Cost**
- **Traditional Group: Higher premiums |  
Alternative: Often Lower cost**
- **Employee Flexibility**
- **Traditional Group: Limited options |  
Alternative: Greater Choice**
- **Participation Requirements**
- **Traditional Group: Often Required |  
Alternative: Usually Not Required**
- **Employer Contributions**
- **Traditional Group: Typically Required |  
Alternative: Optional**



# Comparison

- **Administrative Burden: Higher vs Lower**
- **Supplemental Protection: Limited vs Strong**
- **Portability: Usually Ends With Employment vs Often Portable**
- **Budget Control: Less Predictable vs More Predictable**



# Cost Example – Traditional Group Coverage



**Business Size: 10 Employees**

**Avg. Group Premium:  
\$700/employee/month**



**Employer Contribution: 50% →  
\$3,500/month**



**Annual Employer Cost: \$42,000**



**Potential Rate Increases: 5%–  
20% annually**

# Cost Example – Alternative Benefit Strategy



- **Business Size: 10 Employees**
- **Coverage: Accident, Hospital Indemnity, Critical Illness & Life Insurance**



- **Employer Budget: \$100 per employee/month | Employer Cost: \$1,000/month**



- **Annual Employer Cost: \$12,000**



- **Potential Annual Savings vs. Group Plan: ~\$30,000**

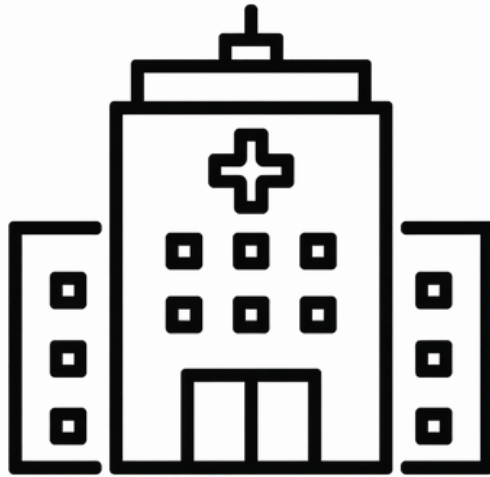


# Employee Benefits of Supplemental Coverage

- Supplemental coverage helps employees manage out-of-pocket expenses that traditional plans often leave behind.
- • Covers gaps traditional health plans don't address
- • Cash payments made directly to the employee
- • Benefits triggered when qualifying events occur
- • No restrictions on how funds are used
- • Protects income during illness, injury, or hospitalization



# Supplemental Coverage Examples



- **Hospital Admission:** A benefit is paid directly to the employee upon hospital admission – helping cover out-of-pocket costs, deductibles, and daily living expenses during recovery.



- **Cancer Diagnosis:** A lump-sum cash payment is made directly to the employee – helping cover lost income, travel to treatment centers, deductibles, and household expenses during illness.



- **Accident Coverage:** Benefits are paid for covered events such as ER visits, ambulance transport, bone fractures, dislocations, and physical therapy – supporting recovery without financial stress.

# Hybrid Solutions



**Group Health + Hospital  
Indemnity**



**Group Health + Critical Illness**



**Individual Health Plans +  
Employer Stipend**



**Health Sharing + Supplemental  
Protection**





# Benefits for Employers

- **Employee Retention:** Attract and keep quality staff with meaningful benefits packages.
- **Predictable Costs:** Better budget control with fixed, lower monthly contributions.
- **Increased Employee Satisfaction:** Employees value and appreciate supplemental protection.
- **Flexible Plan Design:** Customize benefits to match your unique workforce needs.
- **Possible Tax Advantages:** Certain benefit contributions may offer tax benefits – consult your tax advisor.

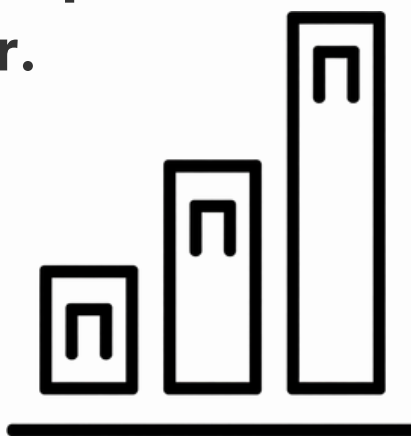
# When Is Traditional Group Insurance the Best Choice?



- **Employer Can Afford Higher Premiums**
- **The business has stable cash flow and can sustain monthly group premium contributions, making comprehensive employer-sponsored coverage a financially viable long-term investment.**

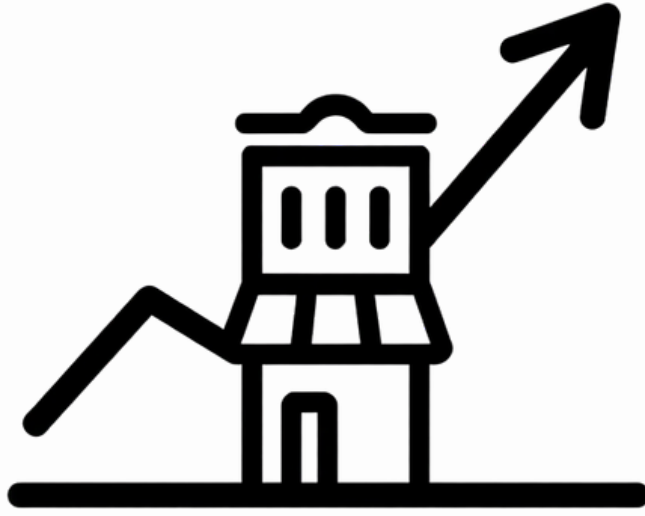


- **Workforce Demands Comprehensive Major Medical**
- **Employees require broad provider networks, low out-of-pocket costs, and full major medical coverage – benefits that traditional group health insurance is specifically designed to deliver.**



- **Company Qualifies for Favorable Rates**
- **The business meets participation requirements, has a healthy employee demographic, and qualifies for competitive group rates – maximizing the value of a traditional group plan.**

# When Alternative Benefits Work Better



**Business is growing and traditional group rates are too expensive – alternative strategies offer affordable, flexible protection that scales with your workforce.**

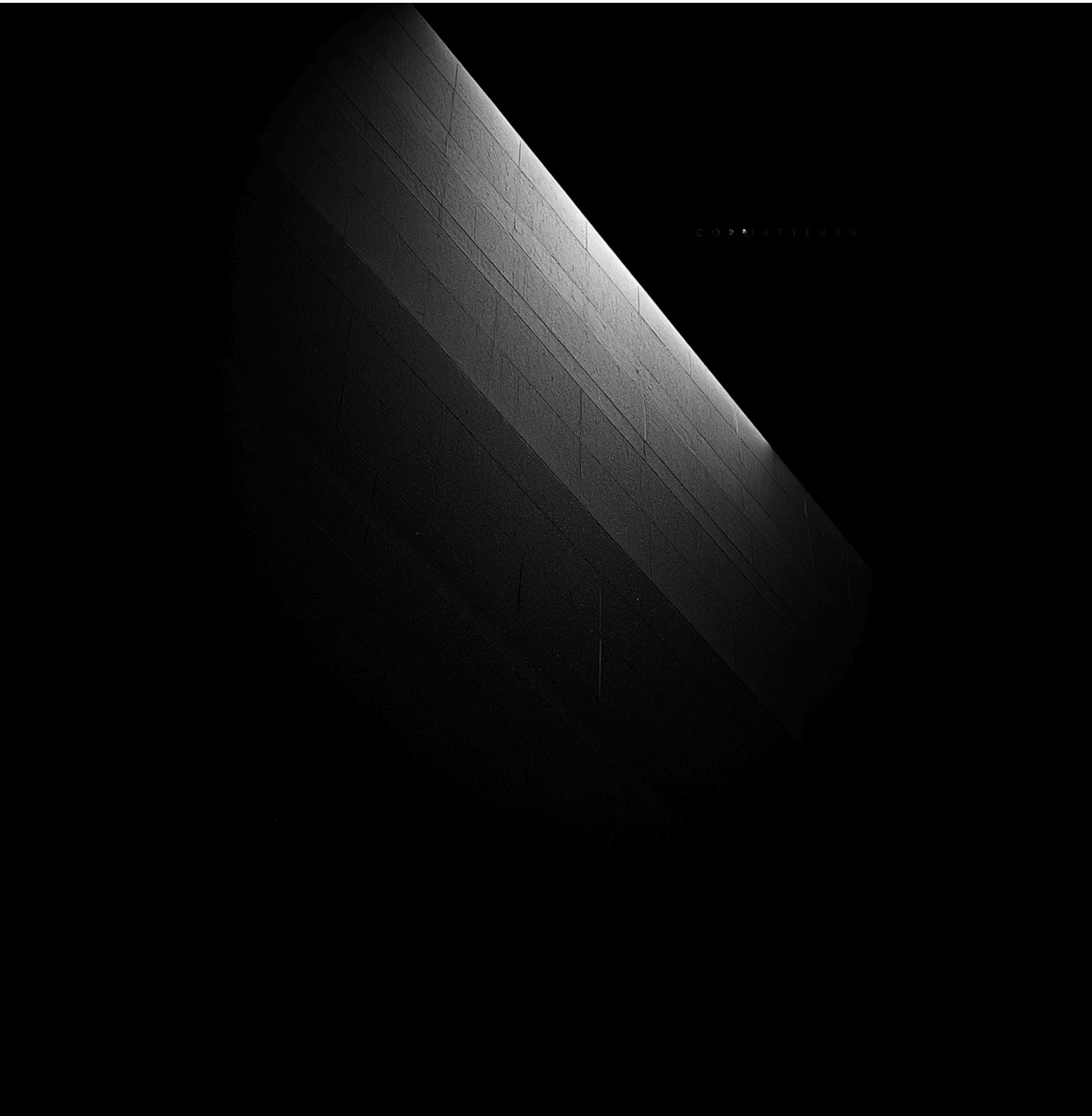


**Employees want more flexibility and choice in their coverage – supplemental options allow staff to select benefits that match their personal and family needs.**



**Employer wants predictable costs and supplemental protection options – alternative benefits provide budget control with meaningful coverage employees truly value.**





C O P R I A T T E U R N

# Final Thoughts

**No one-size-fits-all solution exists. The best strategy depends on company size, employee demographics, budget, retention goals, and growth plans. A comprehensive benefits review is essential to identify the most effective and cost-efficient solution for your business.**

# Our Contact



**Serving Florida &  
Multiple States**



**mroldan@agentusabg.com**



**Schedule a Consultation  
Today**



**954-998-2727**



**Thank  
You**

